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The Editors
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Dear Editors,

We submit “*Sanctions without Markups: Sourcing as the Margin of Bureaucratic Inefficiency*” for consideration as a **Short Paper**. Standard models of bureaucratic accountability predict that sanction-exposed officials face higher per-unit prices because suppliers extract a delivery-risk premium; passive-waste accounts predict that distortion operates through sourcing rather than pricing. The two predictions are observationally equivalent in cross-buyer data. Using bid-level data on 479,330 pharmaceutical purchases by the São Paulo State Department of Health (2009–2019), we provide the first within firm-buyer-item test of these competing predictions. The within-firm prediction fails; the sourcing prediction holds.

Findings. Within the same item, urgent purchases are 5.4% more expensive and attract -5.4% fewer bidders, yet succeed 2.1 pp more often. An institutional contrast unique to São Paulo since 2009—a parallel administrative-request channel that shares all planning constraints but carries no penalty for officials—separates the sanction effect from urgency. Manski-Lee bounds, correcting for SES/SP committee selection on cost-effectiveness, place the under-the-gun gap at [15.9%, 21.1%]. Within firm-buyer-item triples observed under both regimes, the same firm prices the same item to the same buyer at a statistically indistinguishable level (0.035, SE 0.041, NULL): the cost margin operates entirely through demand fragmentation (admin orders are roughly $3.3\times$ larger, mechanically delivering bulk discounts) and through equilibrium changes in *which* firm wins. Wild cluster bootstrap confirms inference ($p_{\text{boot}} = 0.0080$); items never litigated deliver placebo zeros. Welfare bound: \$27.8 M per year on \$300 M of annual litigated spending. The policy lever is demand aggregation, not contract design.

JPubE fit. The paper engages procurement design and frictions (Bandiera, Prat & Valletti 2009; Bosio et al. 2022; Best, Hjort & Szakonyi 2023), accountability-induced bureaucratic distortion (Prendergast 2007; Bandiera et al. 2021), and judicial enforcement of public contracts (Coviello et al. 2018). It directly engages two recent JPubE contributions: Lin and Wang (2025), whose 4.8% supply-cost reductions from group purchasing in U.S. hospitals identify the same demand-aggregation lever we find compromised by court-mandated fragmentation; and Coviello, Guglielmo, Lotti and Spagnolo (2026), whose evidence on threshold manipulation identifies sourcing distortion via a different institutional mechanism (discretionary procedures) than the one we study (compressed timelines under sanctions). The body totals 5,965 words (under 6,000), uses 5 main-text exhibits, and is self-contained.

Suggested handling editors and referees. Three researchers whose published work most closely engages the substantive and methodological core: *Decio Coviello* (judicial enforcement and procurement performance, closest comparator to our institutional contrast); *Francesco Decarolis* (procurement design, anchor of the empirical-procurement field); and *Audinga Baltrunaite* (discretion and supplier selection in public procurement, methodologically comparable). We defer to editorial judgment on routing. The work is original and not under consideration elsewhere; the authors report no conflicts of interest; replication code and de-identified data will be shared subject to SES/SP

confidentiality restrictions.

Sincerely,

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